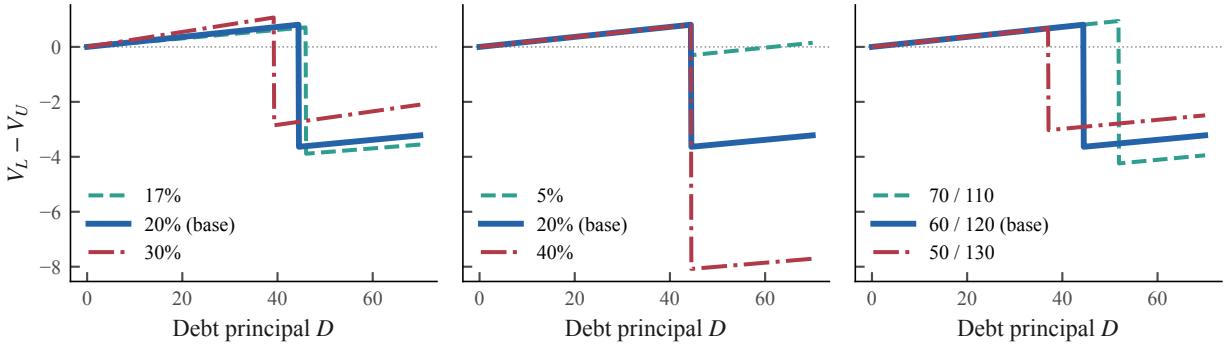
(a) Tax rate τ_c
(b) Distress cost c
(c) Weak / strong cash flow
$V_L - V_U$
0
−2
−4
−6
−8
17%
20% (base)
30%
5%
20% (base)
40%
70 / 110
60 / 120 (base)
50 / 130
0
20
40
60
Debt principal D